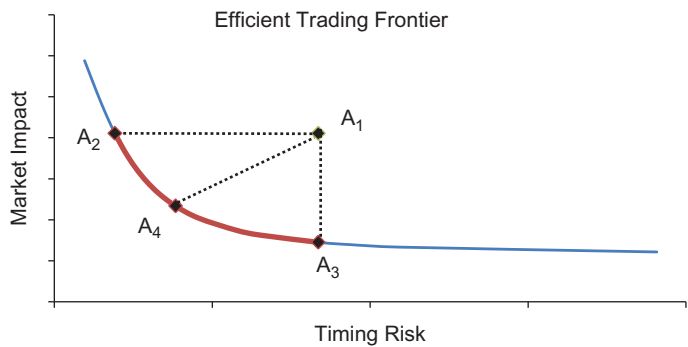
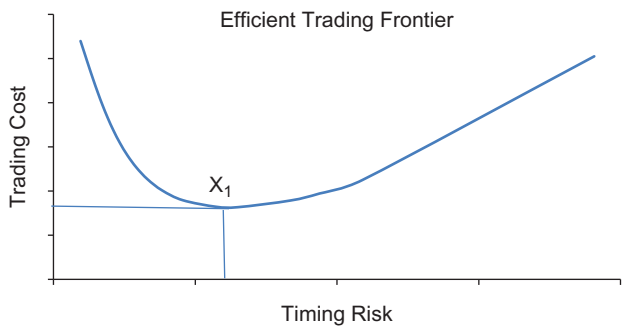




■ Figure 7.7 Illustration of Different Trading Strategies.



■ Figure 7.8 Illustration of Trading Cost in Presence of Alpha.

Figure 7.7 illustrates various optimal trading strategies. Strategy A_1 in the figure is not an optimal strategy because it does not contain the least cost for the level of risk or the lower risk for the corresponding cost. For example, strategy A_2 has the same market impact as A_1 but reduced risk. Strategy A_3 has the same timing risk as A_1 but lower impact. Strategy A_4 has both lower market impact and less timing risk than A_1 . All of these strategies would be preferred over A_1 .

Figure 7.8 illustrates the efficient trading frontier in the presence of alpha momentum. Notice in this case that market impact is decreasing until strategy X_1 is reached. After this time, however, market impact begins to increase again due to the alpha cost of the trade. If the trader executes too passively the increased alpha cost will become greater than the reduced market impact cost. Hence, in these situations traders waiting too long to trade will incur increased risk and increased cost. The most passive trader should execute the trade represented by strategy X_1 .